

Economist Letter

Japan's Economic Outlook for FY 2026 and FY 2027 (May 2026)

Taro Saito, Executive Research Fellow, Economic Research Department,
tsaito@nli-research.co.jp

<Real GDP growth is projected at 0.5% in FY 2026 and 1.1% in FY 2027>

1. Real GDP in the January–March quarter of 2026 grew at an annualized rate of 2.1% from the previous quarter, marking the second consecutive quarter of positive growth. In addition to increases in private consumption and capital investment, exports posted strong growth, confirming the resilience of the Japanese economy before the effects of the Middle East situation became fully pronounced.
2. Going forward, economic growth is expected to come under downward pressure due to the worsening Middle East situation. Energy supply constraints and stagnation in logistics are expected to trigger production adjustments, and worsening terms of trade caused by surging crude oil prices will weigh on corporate profits and households' real purchasing power. Growth in the first half of FY 2026 is expected to remain close to zero.
3. Real GDP growth is projected at 0.5% in FY 2026 and 1.1% in FY 2027. This outlook assumes that tensions surrounding the Middle East situation will gradually ease and that economic activity will normalize as crude oil prices decline and logistics recover. However, if turmoil in the Middle East becomes prolonged, stagflationary conditions are likely to intensify further.
4. Consumer price inflation (all items excluding fresh food) has slowed to the upper-1% range due in part to measures aimed at reducing energy-related burdens. However, rising import prices associated with surging crude oil prices are expected to spread to a broad range of items, including food products and daily necessities, pushing inflation into the 3% range by the end of FY 2026. Consumer price inflation (all items excluding fresh food) on a fiscal year basis is projected at 2.5% in FY 2026 and 2.3% in FY 2027.

1. Real GDP grew at an annualized rate of 2.1% in the January–March quarter of 2026

Japan's real GDP in the January–March quarter of 2026 grew by 0.5% from the previous quarter (2.1% on an annualized basis), marking the second consecutive quarter of positive growth.

As private consumption (up 0.3% from the previous quarter), private residential investment (up 0.5%), and capital investment (up 0.3%) all increased, public investment also increased for the first time in three quarters due to the implementation of the FY 2025 supplementary budget. As a result, both private demand and public demand increased for the second consecutive quarter.

The contribution of external demand was positive for the second consecutive quarter at 0.3% from the previous quarter (1.1% on an annualized basis). Exports of goods and services increased by 1.7% from the previous quarter, and imports of goods and services increased by 0.5%. Although services exports remained sluggish due to a plateauing of inbound demand, goods exports posted strong growth, supported in part by a recovery in exports to China.

The GDP statistics for the January–March quarter of 2026 indicate that the Japanese economy remained resilient before the effects of the Middle East situation became fully pronounced.

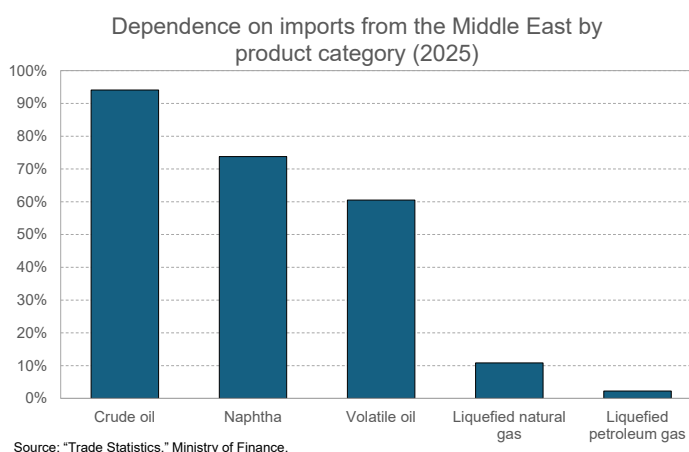
As a result, real GDP for FY 2025 increased by 0.8% compared to the previous year (0.5% in FY 2024), marking the second consecutive year of positive growth. Nominal GDP increased by 4.2% compared to the previous year (3.7% in FY 2024), marking the fifth consecutive year of positive growth.

Impact of the worsening Middle East situation

Since the United States and Israel launched attacks on Iran at the end of February 2026, confusion surrounding the Middle East situation has continued. The deterioration of the Middle East situation is expected to adversely affect the Japanese economy through various channels.

Japan depends heavily on overseas sources for energy resources, with more than 90% of crude oil imports originating from the Middle East. Dependence on the Middle East is also extremely high for other mineral fuels, such as naphtha and gasoline.

The effective closure of the Strait of Hormuz is expected to lead to a substantial decline in Japan's crude oil imports. Approximately 90%



of Japan's crude oil imports have historically passed through the Strait of Hormuz. According to IMF Port Watch, the total number of vessels passing through the Strait of Hormuz (tankers plus cargo ships) stood at around 100 at the end of February 2026. However, it plunged to fewer than 10 in March and had shown almost no recovery as of mid-May, more than two months later.

According to trade statistics for March 2026, crude oil import volumes increased by 2.4% compared with the previous year. This increase reflects the fact that it takes approximately 3 weeks to transport crude oil from the Middle East to Japan by tanker. Thus, shipments departing before the end of February were included in the statistics. The impact of the Strait of Hormuz closure is likely to become apparent from April onward, with crude oil import volumes expected to decline rapidly.

The government has explained that, through the release of national petroleum reserves and alternative procurement measures, sufficient quantities of crude oil, petroleum products, and naphtha have been secured for Japan as a whole. However, some distribution bottlenecks have already emerged due to advance orders driven by concerns about supply shortages. If the turmoil surrounding the Middle East situation becomes prolonged, the risk of severe supply shortages across Japan is likely to increase.

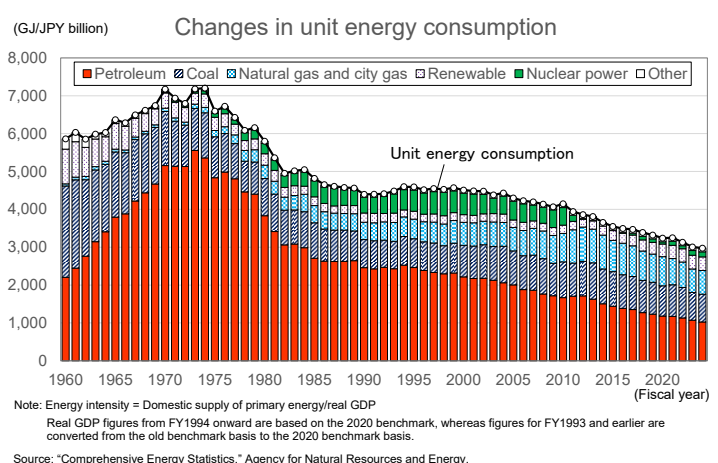
The increasing price of resources, including crude oil, will worsen the terms of trade and lead to an outflow of income overseas, thereby undermining corporate profits and reducing households' real purchasing power.

Compared with the oil crisis period, the Japanese economy has made significant progress in improving energy efficiency. Energy intensity (domestic primary energy supply/real GDP), which measures the energy required to generate one unit of economic activity (real GDP), has continued to decline since the mid-1970s due to changes in industrial structure and

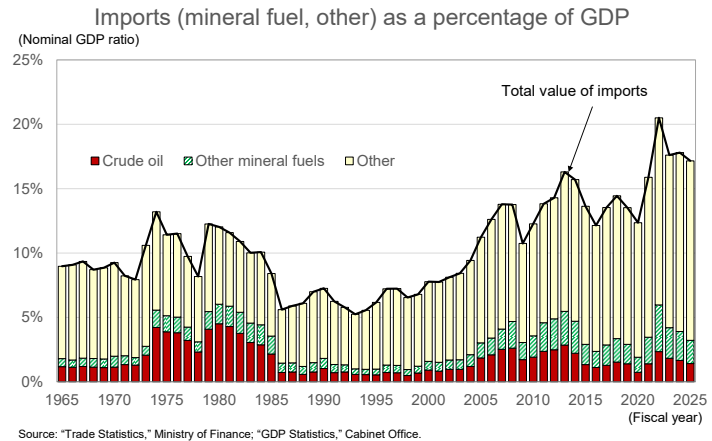
advances in energy-saving technologies. By FY 2024, it had improved to roughly 40% of the FY 1970 level. In addition, although oil accounted for over 70% of the energy supply in the 1970s, its share has now fallen to slightly above 30% as energy sources have shifted toward natural gas, city gas, renewable energy, and other sources.

Thus, the Japanese economy is more resilient to surging crude oil prices and supply constraints than it was during the oil crisis.

Although dependence on crude oil has declined, Japan's overall import dependence has increased since the 1970s. The ratio of crude oil imports to GDP has fallen from nearly 5% in the 1970s to the 1% range in



recent years. In contrast, the ratio of total imports to GDP—including mineral fuels other than crude oil, food products, chemical products, and electrical equipment—has increased from approximately 10% in the 1970s to approximately 20% in recent years. As a result, the scale of income outflows from the economy due to increasing import prices, including those beyond crude oil, has become even larger than during the oil crisis.



Past cases in which crude oil prices surged due to shocks include the first oil crisis (1973–1974), the second oil crisis (1979–1980), and Russia’s invasion of Ukraine (2022). Comparing these three episodes, the increases in crude oil prices (in both U.S. dollar and yen terms) and import prices were greatest during the first oil crisis, followed by the second oil crisis and Russia’s invasion of Ukraine. Deterioration in the terms of trade (export prices/import prices) was largest during the second oil crisis and smallest during Russia’s invasion of Ukraine. However, the deterioration in GDP trading gains during Russia’s invasion of Ukraine (as a share of GDP) exceeded that of the first oil crisis and was comparable to that during the second oil crisis. Although dependence on crude oil has declined, the impact on the economy from rising import prices and worsening terms of trade—including products beyond petroleum products—appears to be greater than during the oil crisis period.

Comparison with previous oil price surge episodes

		Crude oil price (% change from previous year)		Import price (% change from previous year)	Terms of trade (% change from previous year)	Trading Gains (change from previous year)	
		USD basis	JPY basis			Trillion yen	GDP ratio
First oil crisis	FY 1973 to FY 74	111.3%	111.8%	43.8%	-14.7%	-1.8	-0.8%
Second oil crisis	FY 1979 to FY 80	58.3%	65.7%	37.7%	-20.3%	-4.8	-1.7%
Russian invasion of Ukraine	FY 2022	34.3%	61.6%	33.2%	-13.9%	-8.8	-1.5%
Current episode	FY 2026	58.0%	64.7%	30.5%	-9.1%	-7.3	-1.2%

Note: The values for the first and second oil crises represent the average of two years. The current episode (FY 2026) represents the NLI Research Institute's projections. Crude oil prices are based on customs clearance.

Source: "Trade Statistics," Ministry of Finance; "National Accounts (GDP Statistics)," Cabinet Office; "Corporate Goods Price Index (CGPI)," Bank of Japan.

Dubai crude oil prices had remained in the USD 60 per barrel range; however, they increased sharply to approximately USD 130 per barrel (monthly average) in March following the worsening situation in the Middle East. Although prices have since declined amid expectations of easing tensions in the Middle East, the current WTI crude oil price remains above USD 100 per barrel, more than 50% above pre-conflict levels.

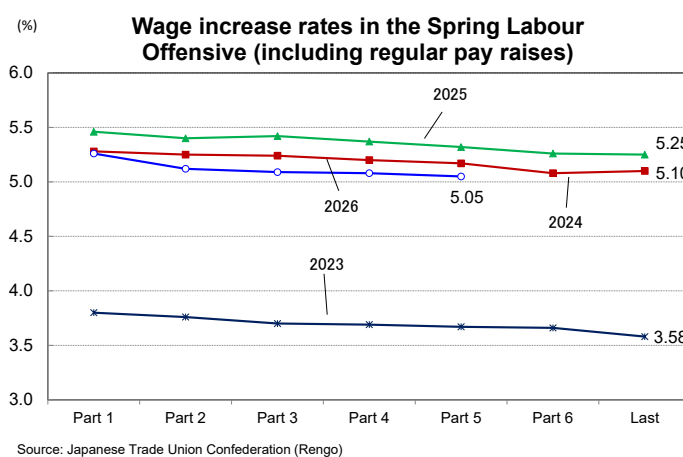
In this outlook, the main scenario assumes that tensions over the Middle East will gradually ease and that crude oil prices will begin to decline. Specifically, WTI crude oil prices are expected to fall from approximately USD 100 per barrel in the April–June quarter of 2026 to approximately USD 90 in the July–September quarter, the USD 80 range in the October–December quarter, and the USD 70 range after the beginning of 2027 (with annual averages of USD 87 in FY 2026 and USD 75 in FY 2027). However, tanker freight rates and adjustment charges are expected to increase substantially, meaning that customs-cleared crude oil prices are likely to significantly exceed WTI and Dubai crude oil prices (customs-cleared crude oil prices are projected at USD 113 in FY 2026 and USD 85 in FY 2027).

As a result, import prices in FY 2026 are projected to rise by 30.5% compared to the previous year, marking a sharp increase close to that seen in FY 2022 during Russia’s invasion of Ukraine. GDP trading gains are expected to deteriorate by JPY 7.3 trillion from FY 2025 (equivalent to –1.2% of GDP).

The 2026 spring wage negotiations are expected to produce a third consecutive year of high wage increases, albeit below the previous year’s level

According to the “2026 Spring Labour Offensive Fifth Aggregated Response Results” released by Rengo on May 12, the average wage increase rate in 2026 was 5.05% (down 0.27 percentage points from the same period of the previous year), while the portion corresponding to base pay increases stood at 3.51%.

Although the rate is expected to fall slightly below the previous year’s level for the first time in 5 years, partly due to the impact of President Trump’s tariffs on some industries, the base pay increase remains in the mid-3% range, well above the Bank of Japan’s 2% inflation target. Thus, it can be concluded that high-level wage increases were again achieved in 2026, following those in 2024 and 2025.

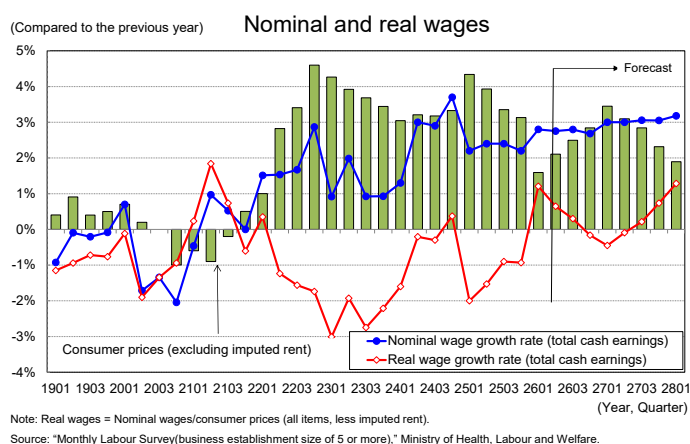


Real wages, calculated by deflating nominal wages by consumer prices (all items excluding imputed rent for owner-occupied housing), rose by 0.7% compared to the previous year’s values in January 2026, marking the first increase in 13 months, and have remained positive for 3 consecutive months thereafter. In addition to nominal wages (total cash earnings) accelerating from the low-2% range during 2025 to approximately 3% after the start of 2026, the significant slowdown in consumer price inflation (all items excluding imputed rent

for owner-occupied housing), partly due to the abolition of the provisional gasoline tax rate, contributed to the increase in real wages.

Although real wage growth is expected to remain positive for some time after the start of FY 2026, the pace of growth is projected to gradually slow as consumer price inflation accelerates, with real wage growth likely becoming negative in the second half of FY 2026. Real wage growth is expected to return to positive territory only after the middle of 2027, when consumer price inflation is projected to slow under continued nominal wage growth of approximately 3%.

If the Middle East conflict becomes prolonged and crude oil prices remain elevated, the risk of continued negative real wage growth through the end of FY 2027 will increase.



2. Real GDP growth is projected at 0.5% in FY 2026 and 1.1% in FY 2027

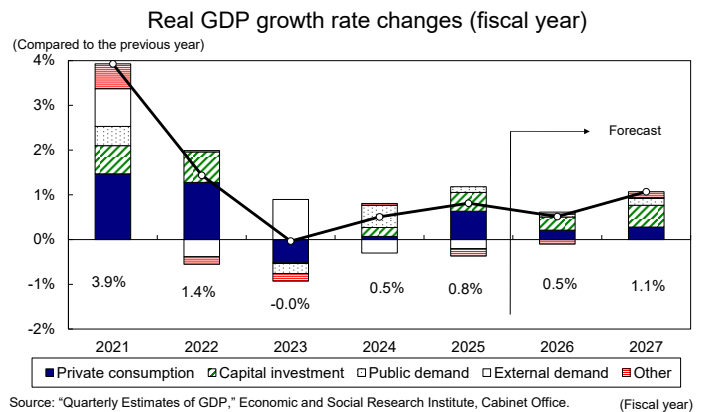
The first half of FY 2026 is expected to see near-zero growth

In the January–March quarter of 2026, both domestic and external demand increased, resulting in growth above the estimated potential growth rate of the mid- to upper-0% range. However, after the start of FY 2026, the worsening Middle East situation is likely to become apparent, placing substantial downward pressure on economic growth. Specifically, energy supply constraints and logistics stagnation are expected to trigger production adjustments. At the same time, worsening terms of trade due to soaring crude oil prices will weigh on corporate profits and households' real purchasing power.

Private consumption continued to recover, supported by improvements in real purchasing power driven by slower inflation. However, going forward, stagnation is likely to intensify amid renewed inflationary acceleration and worsening consumer sentiment. Although capital investment has maintained a recovery trend backed by high corporate profits, the pace of increase is likely to slow due to substantial cost increases and heightened uncertainty resulting from the worsening Middle East situation. Exports are expected to decline due to reduced shipments to the Middle East, particularly of automobiles, as well as sluggish inbound demand amid sharp increases in airfares.

Real GDP growth is projected at -0.4% on an annualized basis from the previous quarter in the April–June quarter and 0.3% in the July–September quarter, meaning that growth in the first half of FY 2026 is expected to remain close to zero. From the second half of FY 2026 onward, as the effects of the Middle East situation ease, both domestic and external demand are expected to recover, resulting in continued growth in the 1% annualized range from the previous quarter, exceeding the potential growth rate.

Real GDP growth is projected at 0.5% in FY 2026 and 1.1% in FY 2027. This outlook assumes that tensions surrounding the Middle East situation will gradually ease and that economic activity will normalize from the second half of FY 2026 onward, driven by declining crude oil prices and the resolution of supply constraints, particularly those related to energy. However, if turmoil in the Middle East becomes prolonged, stagflationary conditions characterized by simultaneous economic stagnation and increasing prices are likely to intensify further.



Inflation outlook

Consumer prices (excluding fresh food, hereafter core CPI) fell below 2% for the first time in three years and 11 months in February 2026, rising by 1.6% compared to the previous year, and remained in the 1% range at 1.8% in March. The main reasons for the slowdown in consumer price inflation were falling energy prices due to earlier declines in crude oil prices, the abolition of the provisional gasoline tax rate, support measures for electricity and gas charges, and the continued moderation in food price inflation since the summer of 2025. Food prices (excluding fresh food) slowed for 8 consecutive months from a peak increase of 8.3% compared to the previous year in July 2025 to 5.2% in March 2026, reducing the core CPI inflation rate by approximately 1 percentage point during this period.

Factors expected to drive prices up going forward include the reduction in subsidies for electricity and city gas charges in April and their termination from May onward. Electricity charges are expected to increase by approximately 15% and city gas charges by approximately 10% over April and May combined. Electricity and city gas charges reflect import fuel prices over the most recent 3 months, with a 2-month lag. For example, electricity and city gas charges for usage in May 2026 (reflected in consumer prices in June 2026), specifically the fuel cost adjustment component, are calculated based on the average import fuel prices from January through March 2026. Because customs-cleared crude oil prices are expected to rise sharply only from April onward, the full impact of higher fuel costs associated with March's crude oil price increases on

electricity and city gas charges is likely to become apparent only from autumn onward. In response to these developments, support measures for electricity and gas charges are highly likely to resume after the summer. In addition, from the summer onward, rising crude oil prices are expected to affect not only petroleum products but also a wide range of goods, including food and daily necessities.

According to the Bank of Japan's corporate goods price index (CGPI), reflecting higher crude oil prices and yen depreciation associated with the Middle East situation, the import price index accelerated sharply from 2.7% compared to the previous year in February 2026 to 8.0% in March and 17.5% in April. The domestic corporate goods price, which represents the prices of goods traded among domestic companies, also accelerated significantly from 2.1% in February to 2.9% in March and 4.9% in April. At the upstream stage, a sharp price increase associated with the Middle East situation has already become evident.

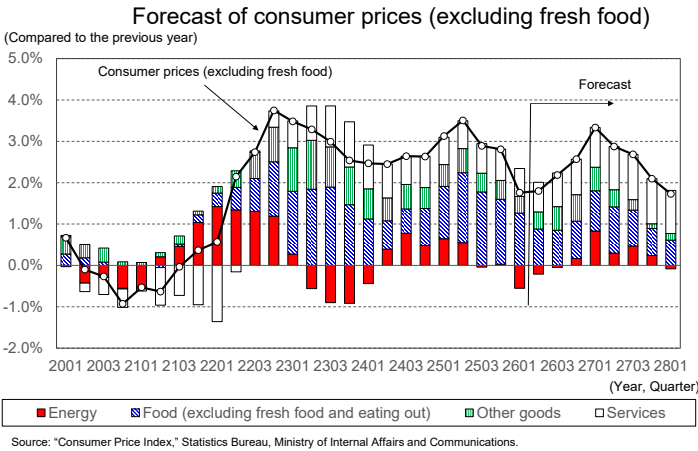
Since 2022, firms and households have experienced sustained inflation, leading to more aggressive corporate pricing behavior. The pass-through of inflation originating from surging crude oil prices from upstream to downstream stages is likely to exceed past episodes in both magnitude and speed.

Service prices had continued to rise in the low-2% range since the second half of 2023; however, the pace of increase has slowed to the mid-1% range since FY 2024. Examining the breakdown of service prices, rents have been exerting downward pressure, whereas service prices excluding rents, although slowing from their peak growth in the upper-3% range around the end of 2023, have continued to rise by approximately 2%. Labour costs, which strongly influence service prices, are expected to continue rising amid high wage growth. As firms continue shifting higher labor and logistics costs onto prices, the pace of service price increases is likely to accelerate again.

This outlook assumes that support measures for gasoline, kerosene, and other items will continue through FY 2027 with a gradually reduced scale. In contrast, support measures for electricity and gas charges will resume in the summer of 2026 and continue through FY 2027, although their scale will be reduced in line with declining crude oil prices thereafter.

Core CPI inflation is expected to continue accelerating from the current upper-1% range throughout FY 2026, rising into the 2% range during the summer of 2026 and reaching the 3% range toward the end of FY 2026. Although the pace of the increase is expected to slow after the start of FY 2027 due to declining crude oil prices and yen appreciation, the outlook for inflation remains highly uncertain because it will be heavily influenced not only by developments in the Middle East situation and associated movements in crude oil prices and exchange rates but also by government measures to address rising prices.

Core CPI inflation is projected at 2.5% compared to the previous year in FY 2026 and 2.3% in FY 2027, following 2.7% in FY 2025. Core–core CPI (all items excluding fresh food and energy) is projected at 2.5% in FY 2026 and 2.4% in FY 2027, following 3.0% in FY 2025.



Outlook for the Japanese economy

(Units, %) Previous Forecast (2026.3)

	FY 2024 Actual	FY 2025 Actual	FY 2026 Forecast	FY 2027 Forecast	25/4-6 Actual	25/7-9 Actual	25/10-12 Actual	26/1-3 Actual	26/4-6 Forecast	26/7-9 Forecast	26/10-12 Forecast	27/1-3 Forecast	27/4-6 Forecast	27/7-9 Forecast	27/10-12 Forecast	28/1-3 Forecast	FY 2025 Forecast	FY 2026 Forecast	FY 2027 Forecast
Real GDP	0.5	0.8	0.5	1.1	0.3	-0.6	0.2	0.5	-0.1	0.1	0.3	0.3	0.3	0.2	0.3	0.3	1.0	0.9	1.3
Contribution to domestic demand	(0.8)	(1.0)	(0.5)	(1.1)	(0.2)	(-0.3)	(0.2)	(0.2)	(-0.0)	(0.1)	(0.3)	(0.2)	(0.4)	(0.2)	(0.2)	(0.3)	(1.2)	(0.9)	(1.3)
Private demand	(0.4)	(0.8)	(0.4)	(0.9)	(0.1)	(-0.3)	(0.1)	(0.2)	(0.1)	(0.0)	(0.2)	(0.2)	(0.3)	(0.2)	(0.2)	(0.2)	(1.1)	(0.8)	(1.1)
Public demand	(0.5)	(0.1)	(0.1)	(0.2)	(0.1)	(-0.0)	(0.1)	(0.1)	(-0.1)	(0.1)	(0.1)	(0.0)	(0.0)	(0.0)	(0.0)	(0.0)	(0.1)	(0.1)	(0.2)
Contribution to external demand	(-0.3)	(-0.2)	(0.0)	(0.0)	(0.1)	(-0.3)	(0.0)	(0.3)	(-0.1)	(-0.0)	(-0.0)	(0.1)	(-0.0)	(-0.0)	(0.1)	(-0.0)	(-0.2)	(-0.0)	(-0.0)
Private final consumption expenditure	0.1	1.2	0.4	0.5	0.2	0.5	0.0	0.3	0.1	-0.1	0.1	-0.0	0.2	0.3	0.2	0.2	1.5	0.8	1.1
Private residential investment	-0.7	-3.5	-0.0	-0.7	-0.0	-8.1	5.0	0.5	-0.6	-0.3	0.4	-0.6	0.4	-0.6	-0.6	-0.1	-3.5	-0.5	-0.5
Private nonresidential investment	0.8	2.4	1.6	2.7	1.2	-0.1	1.4	0.3	0.1	0.2	0.5	0.9	0.8	0.5	0.6	0.8	2.3	2.2	2.7
Government final consumption expenditure	2.3	0.8	0.5	0.5	0.7	0.1	0.4	0.1	0.1	0.1	0.1	0.1	0.2	0.1	0.2	0.1	0.8	0.6	0.7
Public investment	0.1	-0.6	-0.3	0.3	0.4	-1.1	-0.2	1.4	-0.8	-0.5	0.2	0.2	0.0	-0.0	0.1	0.3	-1.1	-0.2	0.9
Exports of goods & services	2.7	1.9	-0.3	2.4	1.6	-1.6	0.2	1.7	-1.9	0.3	0.6	0.8	0.6	0.4	0.8	0.5	2.0	1.7	2.0
Import of goods & services	4.0	2.6	-0.5	2.4	1.1	-0.2	-0.0	0.5	-1.6	0.4	0.7	0.5	0.7	0.7	0.4	0.5	2.9	1.9	2.2
Nominal GDP	3.7	4.2	1.3	4.2	2.0	0.1	0.9	0.8	-0.3	-0.4	0.9	1.2	1.6	1.0	0.8	0.5	4.3	2.5	3.4

Note: The top row for real GDP shows quarter-on-quarter changes; the middle row shows quarter-on-quarter annualized changes; and the bottom row shows year-on-year changes. All other demand components are shown as quarter-on-quarter changes.

< Main Accounting Indicators >

(Units, %)

	FY 2024	FY 2025	FY 2026	FY 2027	25/4-6	25/7-9	25/10-12	26/1-3	26/4-6	26/7-9	26/10-12	27/1-3	27/4-6	27/7-9	27/10-12	28/1-3	FY 2025	FY 2026	FY 2027
Industrial production (QoQ)	-1.5	-0.2	0.4	1.0	-0.5	-1.1	0.3	2.5	-1.6	0.1	0.4	0.2	0.3	0.2	0.2	0.4	1.0	1.0	1.0
Domestic corporate goods prices (YoY)	3.3	2.7	8.3	1.6	3.3	2.6	2.6	2.5	7.3	9.8	8.7	7.6	2.4	0.8	1.5	1.8	2.6	2.7	0.7
Consumer prices (YoY)	3.0	2.6	2.5	2.3	3.4	2.9	2.7	1.4	1.8	2.2	2.6	3.3	2.9	2.6	2.1	1.7	2.6	2.1	2.1
Consumer prices (excluding fresh food)	2.7	2.7	2.5	2.3	3.5	2.9	2.8	1.8	1.8	2.2	2.6	3.3	2.9	2.7	2.1	1.7	2.8	2.1	2.1
Current account balance (¥trillion)	30.0	34.5	23.6	25.8	29.4	35.6	33.1	39.1	31.1	20.9	21.1	21.4	26.9	26.3	27.0	23.0	31.5	28.3	28.6
(Ratio to nominal GDP)	(4.7)	(5.0)	(3.5)	(3.6)	(4.4)	(5.4)	(4.9)	(5.8)	(4.6)	(3.1)	(3.1)	(3.1)	(3.9)	(3.7)	(3.8)	(3.2)	(4.7)	(4.1)	(4.0)
Unemployment rate (%)	2.5	2.6	2.7	2.6	2.5	2.5	2.6	2.7	2.7	2.7	2.7	2.7	2.7	2.6	2.6	2.6	2.6	2.6	2.5
Housing starts (10 thousand)	81.6	71.1	74.6	74.5	62.0	71.9	75.6	74.7	74.5	74.4	74.9	74.6	75.1	74.8	74.1	73.8	71.6	76.1	76.0
Call rate (target rate)	0.50	0.75	1.25	1.50	0.50	0.50	0.75	0.75	1.00	1.00	1.00	1.25	1.25	1.25	1.25	1.50	0.75	1.00	1.25
10-year government bond rate	1.0	1.8	2.6	2.7	1.4	1.6	1.8	2.2	2.6	2.7	2.6	2.6	2.6	2.7	2.7	2.7	1.8	2.3	2.5
USD/JPY	152	151	157	152	145	147	154	157	158	158	157	155	154	153	152	150	151	153	146
Crude oil price (CIF, Dollar/Barrel)	83	71	113	85	76	72	71	67	129	123	106	93	85	85	85	85	72	83	74
Ordinary profit (YoY)	7.2	6.3	2.5	7.8	0.2	19.7	4.7	4.7	0.5	0.7	3.2	5.8	8.1	8.5	6.9	7.8	6.1	4.1	5.9

Note: 10-year JGB yields, exchange rates, and oil prices are period averages. Call rates are uncollateralized overnight rates at period-end (upper limit of the target range when a range is used). Ordinary income for Jan-Mar 2026 is projected.

Sources: "Quarterly Estimates of GDP," Economic and Social Research Institute, Cabinet Office; "Indices of Industrial Production," Ministry of Economy, Trade and Industry; "Consumer Price Index," Ministry of Internal Affairs and Communications; "Financial Statements Statistics of Corporations by Industry, Quarterly," Ministry of Finance and others.

Outlook for the U.S. economy

		2024	2025	2026	2027	2025				2026				2027			
		Actual	Actual	Forecast	Forecast	1-3 Actual	4-6 Actual	7-9 Actual	10-12 Actual	1-3 Actual	4-6 Forecast	7-9 Forecast	10-12 Forecast	1-3 Forecast	4-6 Forecast	7-9 Forecast	10-12 Forecast
Real GDP	Annual rate,% QoQ	2.8	2.1	2.0	1.9	- 0.6	3.8	4.4	0.5	2.0	1.8	1.5	1.7	2.1	1.9	1.9	1.9
FF rate target	End of period, Upper,%	4.50	3.75	3.75	3.50	4.50	4.50	4.25	3.75	3.75	3.75	3.75	3.75	3.50	3.50	3.50	3.50
10 year JGB interest rate	Average,%	4.3	4.3	4.4	4.1	4.4	4.4	4.2	4.1	4.2	4.6	4.5	4.4	4.2	4.1	4.1	4.1

Outlook for the European (Euro area) economy

		2024	2025	2026	2027	2025				2026				2027			
		Actual	Actual	Forecast	Forecast	1-3 Actual	4-6 Actual	7-9 Actual	10-12 Actual	1-3 Revised	4-6 Forecast	7-9 Forecast	10-12 Forecast	1-3 Forecast	4-6 Forecast	7-9 Forecast	10-12 Forecast
Real GDP	Annual rate,% QoQ	0.9	1.4	0.8	1.1	2.4	0.6	1.2	0.8	0.6	0.1	1.0	1.1	1.3	1.3	1.3	1.2
Deposit facility rate	End of period,%	3.00	2.00	2.50	2.00	2.50	2.00	2.00	2.00	2.00	2.25	2.50	2.50	2.25	2.00	2.00	2.00
German 10 year government bond rate	Average,%	2.3	2.6	2.9	2.5	2.5	2.5	2.7	2.7	2.8	3.0	3.0	2.8	2.7	2.5	2.4	2.4
Exchange rate against the dollar	Average, Dollars	1.09	1.13	1.18	1.20	1.05	1.13	1.17	1.16	1.17	1.18	1.19	1.19	1.19	1.19	1.20	1.20

Please note: The data contained in this report has been obtained and processed from various sources, and its accuracy or safety cannot be guaranteed. The purpose of this publication is to provide information, and the opinions and forecasts contained herein do not solicit the conclusion or termination of any contract.